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Issue: Payments were stopped despite supply of door frames and panels to MPG Hotels and Infrastructure Ventures, a subsidiary of Muthoot Fincorp. MPG's spokesman says there are "certain factual errors" and that since "the matter is still in court, we are reserving comments"

Project cost: ₹2 crore

Payment due: Since 2013

"During conciliation talks, I was offered Rs 20 lakh instead of the nearly Rs 1 crore that was due. I rejected the amount... I didn't want to settle for peanuts"

launched the MSME Samadhaan scheme to fast-track the settlement of dues by government/ public sector agencies. Since its launch, MSEs have filed 164,280 applications involving Rs 39,015 crore till November 7, 2023, against central ministries, departments, public sector units and others. Of these, 15,274 have so far been mutually settled, while 42,787 applications were rejected. The MSEFCs have disposed of 32,542 cases while the rest—73,676 cases—are pending.

Back in 2014, the RBI had introduced the online bill discounting platform TReDS, which allows MSME suppliers to discount their invoices and raise funds against those bills through auctions, helping them better manage their working capital. The three operational TReDS exchanges have so far discounted invoices totalling Rs 76,000 crore in FY23, nearly double the Rs 40,000 crore last year. Some 60,000 MSMEs have leveraged TReDS for bill discounting.

However, CPSEs (central public sector enterprises) and companies with a turnover above Rs 500 crore, who are legally mandated to register on TReDS, have failed to do so. In fact, a staggering 7,700 corporates and CPSEs are yet to register on any one of the three exchanges. And among the CPSEs that have registered, less than 10 per cent of the total invoices have been discounted on TReDS, implying that they have registered only to comply with the government notification. Ketan Gaikwad, MD and CEO of Receivables Exchange of India Limited (RXIL), one of the TReDS platforms, says registered CPSEs transact sparingly due to their internal issues. "If all corporates, public or private, start leveraging TReDS for bill discounting, I am sure the MSME credit gap of Rs 20-25 lakh crore can be resolved to some extent," he says.

Addressing the financial challenges that small businesses face is vital, not just for their growth but also for their very survival. Much has been said about the pivotal role that small businesses play in the nation's economy; it is now time to give them the recognition that they deserve. Otherwise, India's aspiration to become a $5 trillion economy by 2025 will remain nothing but a fond hope. ■

HOW PAYMENT DELAYS CAN BE RESOLVED

- All government buying agencies should report pending arbitration cases every quarter and the amounts due to MSME vendors
- The Arbitration Council should choose from a panel of qualified arbitrators. Currently, a conciliator acts as an arbitrator
- Arbitral awards should mention the interest accrued with the principal amount. This ambiguity occurs due to the phrase 'unless otherwise agreed' under Section 31, which must be removed
- The terms 'Public Policy / Fundamental Policy of Indian law' in Sec. 34 of the Arbitration and Conciliation Act, 1996, should be clarified and judiciary sensitised so cases are not accepted in high courts on frivolous grounds
- Ensure that once the arbitral award is granted, payment is made. If the arbitral award gets challenged under Sec. 34, the company should be made to deposit the amount with the court. Also, stop separate execution proceedings for transfer of arbitral award to decree holder